LastMinutePDF

Principles of Management

Premium Rapid Revision Guide

Introduction to Management

Meaning of Management

The process of planning, organising, leading and controlling resources to achieve organisational goals efficiently and effectively.

Nature of Management

Universal · Goal-oriented · Continuous process · Group activity · Dynamic · Intangible force · Multidisciplinary

Objectives of Management

Organisational: Survival, profit, growth
Social: Quality goods, employment, welfare
Personal: Fair pay, recognition, career growth

Importance of Management

Achieves group goals · Increases efficiency · Creates dynamic organisation · Helps in development of society · Integrates all resources

Management as Art, Science & Profession

Criteria	Art	Science	Profession
Basis of Knowledge	Practical know-how & experience	Systematic body of knowledge	Specialised education & training
Principles	Flexible, applied intuitively	Universal, cause-effect based	Code of conduct (partially)
Universality	Personalised, varies by individual	Applicable across situations	Growing professional status
Recognition	Demonstrated through results	Not an exact science (social)	No formal licensing body yet

Functions of Management: Planning

Definition & Importance

Planning is the primary function of management — the process of setting objectives and determining the best course of action to achieve them. It bridges the gap between where an organisation *is* and where it *wants to be*.

Steps in the Planning Process

1. Setting objectives
2. Developing premises (assumptions)
3. Identifying alternatives
4. Evaluating alternatives
5. Selecting the best plan
6. Implementing & follow-up

Types of Plans

Objectives — The end goals that guide all managerial decisions and actions.

Policies — General guidelines that channel thinking during decision-making (e.g., "promote from within").

Procedures — Step-by-step sequences of required actions for routine tasks.

Rules — Specific, inflexible statements of what must or must not be done.

Budgets — Numerical plans expressing expected results in quantifiable terms.

Strategies — Long-range, broad action plans to achieve organisational goals in a competitive environment.

Organizing

Organizing is the process of arranging resources and tasks to achieve goals — defining roles, grouping activities, and establishing authority relationships.

ORGANIZATIONAL STRUCTURE COMPARISON

How it works

Grouped by specialized functions — Finance, HR, Marketing, Operations, etc.

✓ Advantages

- Specialization and efficiency within departments
- Clear career paths and skill development
- Economies of scale within functions
- Easy supervision and control

✗ Disadvantages

- Poor coordination across departments
- Slow decision-making; functional silos
- Conflicts between departments possible
- Not suited for large, diverse organizations

How it works

Grouped by product, geography, or customer segment — each division is semi-autonomous.

✓ Advantages

- Faster decision-making within each division
- Greater accountability and focus
- Better adaptation to local/product needs
- Clear performance measurement per unit

✗ Disadvantages

- Duplication of resources across divisions
- Higher operational costs
- Risk of unhealthy rivalry between divisions
- Loss of functional specialization depth

How it works

Combines functional and divisional structures — employees report to both a functional and a project manager.

✓ Advantages

- Flexible and adaptive to complex projects
- Optimal use of specialized skills
- Better communication and coordination
- Encourages cross-functional collaboration

✗ Disadvantages

- Dual authority creates confusion and conflict
- Difficult to manage and coordinate
- Higher administrative overhead
- Can lead to power struggles between managers

Functions of Management: Staffing & Directing

STAFFING

Meaning
Filling and keeping filled positions in the org structure. Right person, right job, right time.

Recruitment vs Selection
Recruitment — identifying & attracting candidates (positive process).
Selection — choosing the best fit from candidates (negative/eliminative process).

Training & Development
Training — job-specific skill-building for current role.
Development — long-term growth for future responsibilities.

DIRECTING

Meaning
Guiding, inspiring and overseeing employees to achieve organisational goals.

Supervision — Direct oversight of subordinates' day-to-day work.

Leadership — Influencing others towards goal achievement; sets vision and tone.

Motivation — Stimulating employees to perform at their best (intrinsic & extrinsic rewards).

Communication — Exchange of information, ideas and instructions across levels (formal & informal channels).

Controlling

The process of monitoring, measuring, and correcting organisational performance to ensure goals are achieved as planned.
It closes the management loop — linking back to planning to ensure actual results align with set objectives.

Steps in the Controlling Process

01 **Setting Standards**
Establish benchmarks — quantitative or qualitative targets based on plans (e.g., output, time, quality).

02 **Measuring Actual Performance**
Collect data on actual output using reports, observations, and audits to get an accurate picture.

03 **Comparing Performance with Standards**
Identify the deviation — the gap between actual results and the set standard.

04 **Taking Corrective Action**
Fix deviations — revise standards, retrain staff, or adjust operations to realign with objectives.

📝 Exam tip: Remember the 4-step sequence — Setting → Measuring → Comparing → Correcting. Often asked as a 4-mark or 8-mark question.

Fayol's 14 Principles of Management

01

Division of Work

Specialisation boosts efficiency.

💡 Assembly line: each worker handles one task only.

02

Authority & Responsibility

Authority to give orders must be matched with responsibility for outcomes.

03

Discipline

Obedience and respect for rules are essential for smooth operations.

04

Unity of Command

Each employee reports to only one superior.

💡 Corporate hierarchy: one manager per team avoids conflict.

05

Unity of Direction

One plan, one head for a group of activities with the same objective.

06

Subordination of Individual Interest

Organisational goals take priority over personal interests.

07

Remuneration

Fair pay for both employees and the organisation ensures motivation and loyalty.

08

Centralization & Decentralization

Balance decision-making authority between top management and lower levels.

09

Scalar Chain

Clear line of authority from top to bottom; communication follows the chain.

10

Order

A place for everything and everything in its place — people and materials.

11

Equity

Managers must be kind and fair to all employees to earn loyalty.

12

Stability of Tenure

Low turnover improves efficiency; time is needed to master a role.

13

Initiative

Encourage employees to take initiative within authority limits; boosts morale.

14

Esprit de Corps

Team spirit and unity drive performance.

💡 Sports team: shared goal and camaraderie win championships.

F.W. Taylor's scientific approach replaced guesswork with systematic observation, measurement, and standardised methods to maximise worker efficiency.

4 PRINCIPLES

- Science, not rule of thumb — replace intuition with scientific study of each task
- Harmony, not discord — align interests of workers and management
- Cooperation, not individualism — joint effort over individual competition
- Development of each person — train every worker to their greatest efficiency

KEY TECHNIQUES

- Time study — measure the standard time to complete a task
- Motion study — eliminate unnecessary movements to improve efficiency
- Functional foremanship — eight specialists oversee different aspects of work
- Differential piece rate — higher pay per unit for efficient workers, lower for others

Fayol vs Taylor: key differences

A side-by-side comparison of two foundational management theories.

Criteria	Henri Fayol	F.W. Taylor
FOCUS	Management principles	Scientific techniques
PERSPECTIVE	Top management	Shop floor / workers
APPROACH	Administrative	Operational
BASIS	Personal experience	Experimentation & observation
APPLICABILITY	Universal — all organisations	Limited — production & factory
PERSONALITY	Humanistic	Mechanistic

Motivation Theories

Maslow & Herzberg's Motivation Theories

Maslow's Hierarchy of Needs

1. Physiological – food, water, shelter (basic survival)
2. Safety – job security, stable environment
3. Social / Love – belonging, teamwork, relationships
4. Esteem – recognition, status, achievement
5. Self-Actualization – growth, creativity, full potential

Hygiene Factors

Prevent dissatisfaction — but don't motivate on their own

- Salary & pay
- Job security
- Working conditions
- Company policy
- Supervisor relations

Motivators

Drive true satisfaction & higher performance

- Recognition
- Achievement
- Career growth
- Responsibility
- Meaningful work

Key Distinction: Herzberg's Two-Factor Theory

Hygiene factors → Removing dissatisfaction | Motivators → Creating satisfaction

Maslow focuses on hierarchy of needs (lower must be met first); Herzberg separates factors that prevent unhappiness from those that drive motivation. Both are used in HR & management practice.

COMMUNICATION & COORDINATION

Effective management depends on clear communication and purposeful coordination across all levels of an organization.

COMMUNICATION

- **Formal:** Official channels — upward, downward & horizontal flow
- **Informal:** Grapevine & casual social interaction
- **Semantic barriers:** Jargon, unclear language, misinterpretation
- **Psychological barriers:** Emotions, bias, perception gaps
- **Organizational barriers:** Hierarchy, information overload
- **Physical barriers:** Noise, distance, poor infrastructure

COORDINATION

- **Continuous process:** Ongoing throughout all management functions
- **Deliberate effort:** Does not happen automatically — must be planned
- **Integrates group effort:** Unifies individual & team activities toward shared goals
- **Pervasive function:** Present at every level — top, middle & lower management
- **Importance:** Ensures unity of action, reduces conflict & improves efficiency

Deep Dive

Decision Making & SWOT Analysis

7-STEP PROCESS

01 Identify the problem

02 Gather information

03 Generate alternatives

04 Evaluate alternatives

05 Select best alternative

06 Implement the decision

07 Review the outcome

TYPES OF DECISIONS

Routine & repetitive — handled by standard rules or

Unique & complex — require judgment, creativity, analysis

SWOT ANALYSIS

Example: A startup evaluating entry into a new market

Internal advantages that give an edge
e.g. Strong tech team, low operating costs

Internal limitations to address
e.g. Limited brand awareness, small budget

External factors to exploit
e.g. Growing demand, untapped market segment

External risks to mitigate
e.g. Established competitors, regulatory barriers

Rational Decision Model — Assumes full information, logical evaluation of all alternatives, and selection of the option that maximises value. Used as a benchmark against real-world bounded rationality.

Most Repeated Exam Questions

10-mark & 15-mark questions for BBA/B.Com university exams

Functions of Management

1. Define management. Explain its nature and significance in detail.
2. Discuss the functions of management with suitable examples.
3. Explain the process of planning and its importance in an organisation.
4. What is organising? Describe the steps in the organising process.

Fayol & Taylor

1. State and explain Fayol's 14 principles of management.
2. Critically examine Taylor's principles of scientific management.
3. Compare and contrast Fayol and Taylor's contributions to management thought.
4. Explain the techniques of scientific management introduced by F.W. Taylor.

Controlling & Decision Making

1. Define controlling. Explain the process and importance of control in management.
2. What is decision making? Discuss the steps involved in the decision-making process.
3. Explain SWOT analysis with a suitable example.
4. Discuss the relationship between planning and controlling.

Leadership & Motivation

1. What is leadership? Describe the different styles of leadership.
2. Explain Maslow's hierarchy of needs theory of motivation.
3. Discuss Herzberg's two-factor theory and its managerial implications.
4. Differentiate between leadership and management with examples.

Communication & Coordination

1. Explain the process and barriers of effective communication in management.
2. What is coordination? Why is it considered the essence of management?
3. Discuss the formal and informal channels of communication.
4. Explain staffing and its importance as a function of management.

Short Answer Questions

What is management? (2 marks)

Management is the process of planning, organizing, staffing, directing, and controlling resources to achieve organizational goals efficiently and effectively.

Define 'unity of command'. (2 marks)

Fayol's principle stating that each employee should receive orders from only one superior to avoid confusion and conflicting instructions.

Difference: efficiency vs. effectiveness? (2 marks)

Efficiency = doing things right (minimizing resources). Effectiveness = doing the right things (achieving goals). Management requires both.

What is Taylor's 'Time & Motion Study'? (5 marks)

A technique by Taylor to analyze each task scientifically — recording the time taken and motions used — to find the most efficient method of performing work.

Name Maslow's hierarchy of needs. (5 marks)

Physiological → Safety → Social → Esteem → Self-Actualization. Needs at lower levels must be satisfied before higher-level needs motivate behavior.

Application-Based Case Questions

Q1. Planning Failure at RetailMart

RetailMart launched a new store without demand forecasting. Sales fell 40% in Q1. Which planning concept failed? What corrective steps should management take?

Q2. Organising Chaos at TechCorp

TechCorp's employees report to three managers simultaneously, causing confusion. Identify the principle violated and suggest an appropriate organisational structure.

Q3. Leadership at GreenBuilds

GreenBuilds' manager makes all decisions without consulting the team. Morale is low. Which leadership style is this? What style would you recommend and why?

Q4. Motivation Drop at FinServe

FinServe employees perform well for bonuses but show no intrinsic interest in work. Apply Herzberg's theory to explain this and suggest how management can improve motivation.

Q5. Communication Breakdown at LogiX

A key policy memo at LogiX never reached floor supervisors due to a long chain of command. Identify the barrier and recommend a better communication strategy.

Q6. Controlling Lapse at PharmaCo

PharmaCo detected a quality defect only after products were shipped. Which step of the control process was missed? How could feed-forward control have helped?

Q7. Staffing Issue at EduFirst

EduFirst hired 20 teachers without a structured induction plan. New hires feel lost. Relate this to the staffing function and suggest what management should have done differently.

Q8. Fayol's Principles at ManuFab

ManuFab pays workers based on personal relations rather than performance. Which of Fayol's principles is violated? What impact does this have on organisational efficiency?

Q9. Taylor's Principles at SteelWorks

SteelWorks allows workers to choose their own methods, resulting in inconsistent output. How would Taylor's scientific management principles address this problem?

Q10. SWOT & Decision at CaféChain

CaféChain wants to expand abroad but hasn't evaluated its internal weaknesses or external threats. How should management use SWOT analysis to support this decision?

Quick revision tricks

01 POLC Acronym: Remember the 4 core functions of management — Planning, Organizing, Leading, Controlling. Use this sequence in every theory-based answer to show structured understanding.

02 POSEC Method: Prioritize, Organize, Streamline, Economize, Contribute — a practical memory aid that maps individual goal-setting to management principles. Useful for application and case-study answers.

03 Fayol's 14 Principles — grouped by theme: Cluster into 3 groups: Structure (division of work, authority, unity of command/direction), People (discipline, remuneration, equity, esprit de corps), Process (scalar chain, order, initiative, subordination, centralization, stability).

04 Leadership theory hack: Distinguish Style (what a leader does — autocratic, democratic, laissez-faire) from Theory (why people respond — Maslow, Herzberg, McGregor X&Y). Mixing these up is the most common exam mistake.

05 Answer writing structure: Every long answer should follow: Introduction (define the concept) → Explanation (expand with theory) → Example (real-world/company reference) → Conclusion (summarise relevance). Examiners reward this structure.

06 Score more in theory exams: Use headings for each point, draw comparison tables (Fayol vs Taylor), cite theorists by name, and always give a real-world example. Presentation and structure can add 3–5 marks per question.

One-Page Rapid Revision Sheet

01 Functions of Management
Plan → Organize → Staff → Direct → Control
Each function builds on the previous — from setting goals to measuring outcomes.

02 Fayol's 14 Principles
Division of Work · Authority · Discipline · Unity of Command · Unity of Direction · Subordination · Remuneration · Centralisation · Scalar Chain · Order · Equity · Stability · Initiative · Esprit de Corps

03 Taylor's 4 Principles of Scientific Management
Science | Harmony | Cooperation | Development
Replace rule-of-thumb with science; develop workers to their fullest potential.

04 Motivation Theories
Maslow: Physiological → Safety → Social → Esteem → Self-actualisation
Herzberg: Hygiene factors (prevent dissatisfaction) vs. Motivators (drive satisfaction)
McGregor: Theory X (control & coerce) vs. Theory Y (trust & empower)

05 Leadership Styles
Autocratic — Leader decides alone; quick but low morale
Democratic — Team participates; higher morale & creativity
Laissez-faire — Full freedom to team; best for expert groups

06 Decision-Making: 7 Steps
Identify Problem → Gather Info → Identify Alternatives → Evaluate → Choose Best → Implement → Review & Feedback